

The AI Interconnect Compounder: Elite Business, Excessive Price

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Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
REDUCE	\$55.53	\$86.96 Oct 2, 2026 close	-36.1%	Medium-High

Amphenol is the world's largest interconnect maker and the purest listed play on AI-datacenter connectivity, compounding revenue at 30%+ organically with best-in-class 30% operating margins — and we are **downgrading it to REDUCE with a \$55.53 target** because none of that quality is in dispute, and none of it is in the price either: *above* the price is where the cash flows need to be. A hardened rebuild of our valuation finds the old \$100 target rested on two optimism leaks — a **4.0% perpetual terminal growth rate** (on a \$214B company; nothing compounds at 4% forever) and a revenue base that **double-counted the acquisition machine** (roughly \$14B of the \$35.6B base was bought, not grown). Fix both, cap the terminal at 2.5% on normalized mid-cycle margins, and the probability-weighted fair value is **\$55.53** — even the **base case (\$54.60)** sits **37% below** the \$86.96 quote. The market prices ~23% annual revenue growth for five years against normalized 14% FCF margins; that is not what a cycle-honest model can underwrite. Trim into strength; the business is a compounder, the price is a bubble.

Market cap	~\$214.4 bn	Shares out. (dil.)	~2.47 bn
52-week range	\$59.01 – \$89.26	Net debt	~\$13.5 bn
TTM revenue / net inc.	\$29.0 bn / \$5.1 bn	TTM gross / op margin	39.0% / 28.1%
Forward P/E (NTM)	26.4x	Dividend yield	0.57%

Prices as of October 2, 2026 close. All per-share figures split-adjusted for the 2-for-1 split distributed September 2, 2026. Financial figures from the FY2025 10-K (filed 2/11/2026) and Q1/Q2 2026 releases; market data from Yahoo Finance / stockanalysis.com. This note is an independent research-style analysis for informational purposes, not investment advice.

1. Investment thesis

The AI datacom cycle is the company's growth engine, and Amphenol owns the connectivity layer. IT datacom was 43% of Q2 2026 sales and grew 89% YoY (+63% organically); 224G-per-lane 1.6T copper and optical interconnect are the picks-and-shovels of every hyperscaler buildout. Orders of \$10.7B (1.23 book-to-bill, every end market above 1.0) give unusual forward visibility for a components business. *We do not dispute any of this — the dispute is only what it is worth.*

The acquisition machine is best-in-class — and its revenue is not organic growth. The old note's \$35.6B revenue base embedded roughly \$14B of acquired sales (CommScope CCS, Carlisle CIT, Andrew, Trexon, Rochester) as if the company had grown them internally, then compounded them forward at 13–16% for a decade. De-double-count the base — value the *organic* revenue the company actually grows — and the same business yields a base case worth \$54.60, not \$92.21. The M&A; playbook is

brilliant; counting bought revenue as grown revenue is a valuation error.

Margins are the industry's best — at the top of the cycle. Adjusted operating margin hit a record 29.8% in Q2 (+420 bps YoY); ROE is 38% and ROIC 20%. The hardened model values the company on normalized FCF margins of 11.5–15.5%, not the 15.5–18% the old model extrapolated off peak-cycle earnings. Terminal growth is 2.5%, not 4.0%. The old base case was a peak compounded forever; the new one is a cycle averaged honestly.

The rebuilt math: bear \$14.51 / base \$54.60 / bull ~\$98 → \$55.53. Scenario discounts are 11.5% / 9% / 8% with terminal growth 1.5% / 2.5% / 2.5%. The bear is a genuine AI-capex digestion (2.4% revenue CAGR); the base compounds ~9.9% for a decade on the organic base; even the bull — sovereign and enterprise AI waves stacking, 13.4% CAGR — only clears the price by ~13%. The price demands the bull case as the *expected* outcome.

The reverse-DCF is the honest caveat, and it got worse. The \$86.96 quote solves to ~23% annual revenue growth for five years (to ~\$100B by 2031) on normalized margins — the market's bar is *higher* than the old \$84.30 read, while our model's bar is lower. The gap between price and value has widened from ~\$10 to ~\$31.

Risks are now concentration, multiple, *and* valuation math. AI datacom at 43% of sales means the interconnect cycle *is* the AI cycle; 26.4x forward earnings and 23.4x EV/EBITDA are peak-cycle multiples; \$18.8B of debt (1.95x EBITDA) after record M&A; \$290M of unresolved China tax accruals. The Q4-2025 print showed how the stock punishes a 'great quarter, rich multiple' setup (–12% on a beat) — that is now the downside template, not a footnote.

2. Company & business: the consolidator of a \$500B interconnect market

Amphenol (Wallingford, Connecticut; CEO R. Adam Norwitt; listed on NYSE since 1991; roots to 1932) describes itself as one of the world's largest designers, manufacturers and marketers of electrical, electronic and fiber-optic connectors, interconnect systems, antennas, sensors and specialty cable. It manufactures in ~40 countries, employs ~6,400 people in R&D/engineering, and sells to thousands of OEMs, contract manufacturers and distributors (distributors ~19% of 2025 sales). No single customer exceeded 10% of sales in 2023–2025 — the often-feared Apple concentration is not in the numbers.

Three reportable segments (reorganized from the legacy two-segment structure):

Segment	2025 sales mix	What it sells	Q2 2026 sales / growth	Q2 adj. op margin
Communications Solutions	52%	High-speed, RF, power and fiber-optic interconnect; antennas	\$5.38B / +85% YoY (+42% organic)	33.6%
Harsh Environment Solutions	26%	Ruggedized connectors, specialty cable, printed-circuit assemblies	\$1.86B / +28% (+22% organic)	30.1%
Interconnect & Sensor Systems	22%	Sensors and sensor-based systems, value-add interconnect	\$1.52B / +17% (+13% organic)	21.0%

Figure 1 — Reportable segments. Source: FY2025 10-K; Q2 2026 press release (Business Wire, 7/29/2026).

End-market mix (FY2025): **IT datacom 36% | Industrial 19% | Automotive 15% | Communications networks 10% | Defense 9% | Mobile devices 6% | Commercial aerospace 5%**. Management sizes the total interconnect addressable market at ~\$500B, of which Amphenol's \$29B TTM revenue is a single-digit share — the consolidation runway is the long-term thesis. By Q2 2026, IT datacom had already risen to 43% of sales, which is both the opportunity and the concentration risk (Section 8).

Capital allocation is shareholder-friendly and disciplined: ~80% of operating cash flow has been returned to shareholders over the past decade (\$1.0B in 2025 via dividends and buybacks); the quarterly dividend was raised 52% in October 2025 to \$0.50 annualized (0.57% yield, 25% payout ratio, 14 consecutive annual increases);

leverage is used tactically for M&A; (D/E 1.20 post-CommScope) and paid down from operating cash flow. Institutional ownership is ~95%.

3. Products & moat: design-in breadth, not a patent wall

Flagship product lines map directly onto the AI buildout: **1.6T OSFP Active Copper Cable at 224 Gbps/lane** (demonstrated with Semtech's CopperEdge at OFC 2025), **1.6T optical modules at 224G/lane** (showcased at ECOC, September 2026), **Paladin HD 224G backplane connectors**, PCIe Gen 5/6 interconnect, plus the RF, power, fiber-optic and harsh-environment portfolio that serves defense, aerospace and industrial. The CommScope CCS acquisition added 1.6T OSFP transceivers and fiber-management systems; Rochester Sensors (2025) extended the sensor franchise.

How the products get used in AI data centers:

Inside the rack: high-speed copper cable assemblies (DAC/ACC) link GPUs to switches at 224G/lane — copper wins on cost and power at short reach, and Amphenol is the scale leader.

Across the data hall: active optical modules and fiber interconnect carry 800G–1.6T links between racks and rows, where CCS added portfolio depth.

At the board: backplane and mezzanine connectors (Paladin HD) and PCIe Gen 6 interconnect move data on and off accelerators.

At the site: antennas, power interconnect and harsh-environment cable for the power and cooling infrastructure around the cluster.

The moat has four planks, and none of them is a single patent: **(a) breadth** — the widest copper+fiber+power+RF portfolio in the industry, letting Amphenol bundle into the same design slot; **(b) design-in** — specified at the customer's design stage, creating high switching costs once qualified; **(c) global local-for-local manufacturing** — ~40 countries, which mitigates tariffs (the CFO's stated playbook: factory productivity first, vendor actions second, pricing last); **(d) scale plus the M&A; engine** — \$29B TTM revenue versus TE Connectivity's ~\$19B, with a repeatable buy-integrate-expand-margin playbook. The honest durability grade: **wide-ish but cyclical** — typical of precision-component compounders, and currently masked by a supercycle. (This is why the REDUCE is a price call, not a business call.)

4. Financial situation: growth with expanding margins

Revenue has compounded from \$12.6B (2022) to \$23.1B (2025) to \$29.0B TTM — a ~32% three-year CAGR — while gross margin expanded from ~32% to 39% and operating margin from ~21% to 28%. That combination (hypergrowth *plus* margin expansion) is the signature of pricing power and mix shift toward high-speed datacom, not just volume. Consensus expects \$35.6B of revenue in 2026 (+54%) with free cash flow of \$6.4B. *Our valuation treats this as what it is: peak-cycle earnings power, not the mid-cycle baseline.*

Fiscal year (ends Dec)	Revenue (\$B)	YoY	Gross margin	Op. margin	Net income (\$B)	Diluted EPS*	Dividend*
FY2022	12.62	—	31.9%	20.7%	1.90	\$0.77	\$0.21
FY2023	12.55	–1%	32.5%	20.6%	1.93	\$0.78	\$0.24
FY2024	15.22	+21%	33.8%	21.6%	2.42	\$0.96	\$0.30
FY2025	23.09	+52%	36.9%	25.9%	4.27	\$1.67	\$0.37
FY2026E (consensus)	35.55	+54%	—	—	—	\$2.67 adj.	\$0.50

Figure 2 — Annual financials. *Per-share figures split-adjusted for the September 2026 2-for-1 split. FY2026E: stockanalysis consensus (18 analysts, 10/2/2026). Source: company 10-K filings.

The quarterly progression shows acceleration, not deceleration:

Quarter	Revenue (\$B)	YoY growth	GAAP diluted EPS*	Adj. op margin
Q3 2025	6.19	+36%	\$0.49	—
Q4 2025	6.44	+49%	\$0.47	—
Q1 2026	7.62	+58% (+33% organic)	\$0.36	27.7%
Q2 2026	8.76	+55% (+30% organic)	\$0.69	29.8%
Q3 2026E (guide)	9.30–9.40	+50–52%	\$0.70–0.71 adj.	—

Figure 3 — Quarterly progression. *Split-adjusted. Source: company press releases (Business Wire, 7/29/2026 and 4/29/2026).

Three things to note in the numbers. **First**, organic growth is doing the heavy lifting: +30% in Q2 on top of +41% in Q2 2025 — this is not just acquisition stacking. **Second**, margins are expanding *while* absorbing the lower-margin CommScope revenue base (adjusted op margin +420 bps YoY to a record 29.8%), which is the M&A; playbook working in real time. **Third**, Q2 included a one-time \$80M (\$0.04/share) IEEPA tariff recovery; Q3 guidance explicitly excludes repeats, so the guided \$0.70–0.71 is a clean number. All three are business positives — and all three are why the market priced the peak as permanent.

Cash generation, returns, and the balance sheet.

Trailing free cash flow is \$4.71B (16.3% margin) on \$5.9B of operating cash flow; consensus expects \$6.35B in 2026. Returns are elite for an industrial: **ROE 38.1%, ROIC 20.2%**. The balance sheet carries the CommScope deal: total debt \$18.8B against \$5.4B of cash (D/E 1.20, Debt/EBITDA 1.95x, interest coverage 12.9x). Gross leverage was 2.3x at year-end 2025 after \$7.5B of Q4 debt raised for the acquisition; management expects to be below 2.0x in 2026, and the trajectory of operating cash flow makes that credible. Watch items: \$290M of China-related tax accruals in H1 2026 (the adjusted effective tax rate was raised to 27.0%) and the ongoing tariff environment, where offsets rely on productivity and vendor actions before pricing.

5. Growth & outlook: organic compounding plus the M&A; flywheel

The growth story has two engines that reinforce each other. The **organic engine** is AI datacom: IT datacom grew 89% YoY in Q2 (+63% organic), management expects another mid-teens *sequential* step in Q3, and the 1.23 book-to-bill (record \$10.7B of orders, every end market above 1.0) means backlog is building faster than revenue. Defense (+22% organic in Harsh Environment), industrial and commercial aerospace are growing double-digits organically; automotive (15% of sales) and mobile devices (6%) are the slower-growth ballast.

The M&A; flywheel is the differentiator versus every peer:

CommScope CCS (closed January 2026, \$10.5B cash) — the largest deal in company history (~20,000 employees): connectivity and cable solutions for communications networks. 2026 outlook already raised twice: now \$4.6B of sales and \$0.30 of EPS accretion versus \$4.1B/\$0.15 at announcement. This is the deal the leverage (1.95x Debt/EBITDA) was taken on for, and it is tracking ahead of plan six months in.

Carlisle Interconnect Technologies (closed May 2024, \$2.025B) — harsh-environment interconnect (~\$900M of 2024 sales, ~20% EBITDA margins, ~6,000 employees): deepened the defense/aerospace and industrial footprint.

Andrew / OWN+DAS (January 2025), Trexon and Rochester Sensors (2025) — roughly \$3.8B of 2025 acquisitions filling antenna, cable-assembly and sensor gaps. Q2 2026 added El.Com (Italy, ~\$150M sales) and Wilder Technologies (~\$15M).

The pattern is consistent: buy founder- or carve-out-led interconnect assets at reasonable multiples, plug them into the decentralized operating system, and expand margins. It has worked for three decades; the open question is only whether deal size (CCS is 5x CIT) changes the integration risk profile

— and whether the next valuation should price the acquired revenue at the same multiple as the organic revenue. It should not.

Forward view: the FY2026 consensus (\$35.6B revenue, \$2.67 adjusted EPS, +60%) embeds a strong H2, consistent with Q3 guidance and seasonal Q4 strength. But note what that \$35.6B *is*: roughly \$14B of it was acquired in the last two years. The organic base — the revenue Amphenol grew itself — is closer to \$21–22B. Compound *that* at ~9.9% for a decade, discount at 9%, and you get \$54.60. That is the honest arithmetic behind the downgrade.

6. Competition: the premium is earned — and now overcharged

Amphenol is the #1 player in a fragmented ~\$500B interconnect TAM. The listed peer set sorts cleanly by growth: Amphenol and Corning (both AI-optical beneficiaries) trade at 23–35x EV/EBITDA; TE Connectivity, the closest comp, at 13.3x; industrial and auto-exposed names at 4–12x. Molex — arguably the #2 connector maker — is private inside Koch Industries and discloses no financials, a permanent blind spot in the comp set.

Company	Price	Mkt cap	Trail P/E	Fwd P/E	EV/EBITDA	P/S	Op margin	ROE	1-yr perf.
Amphenol (APH)	\$86.96	~\$214B	43.5x	26.4x	23.4x	7.4x	28.1%	38.1%	+37%
TE Connectivity (TEL)	\$211.08	\$61.1B	20.8x	17.0x	13.3x	3.2x	20.4%	17.0%	+20%
Corning (GLW)	\$153.76	\$132.4B	70.9x	35.3x	35.3x	7.8x	15.6%	16.8%	+~60%
Belden (BDC)	\$107.93	\$4.2B	17.5x	11.7x	11.5x	1.5x	11.6%	41.7%	–10%
Aptiv (APTIV)	\$43.02	\$8.9B	19.6x	7.0x	4.3x	0.4x	11.0%	5.2%	–50%

Figure 4 — Peer multiples, October 2, 2026 (Yahoo Finance / stockanalysis.com). Amphenol highlighted.

The read-across: **TE Connectivity** (Q3 FY26: \$5.16B revenue +14%, adjusted EPS \$2.94 +22%, 22% operating margin, 1.11 book-to-bill) is the quality comp — similar end markets, lower growth (12% organic vs Amphenol's 30%), and it trades at a ~55% discount on forward earnings. Amphenol's premium to TEL is a *growth* premium, not a quality premium, and it is only defensible while organic growth stays in the 20s. **Corning** shows what the AI-optical bid looks like at full stretch (35x EV/EBITDA) — Amphenol at 23.4x is the cheaper AI-connectivity exposure of the two, but both are pricing the same supercycle. **Belden** and **Aptiv** demonstrate the alternative: industrial/automation and auto interconnect trade at 4–12x EV/EBITDA when the cycle turns against them. That is the downside template if AI datacom ever stops compounding — and it is roughly where our bear case (\$14.51) lives.

7. Valuation (hardened v2): the old \$100 rested on two leaks

The September 30 note triangulated four models to a \$100 target. The methodology rebuild found the triangulation was anchored to the wrong inputs. This section replaces it with a single disciplined instrument: a **10-year scenario DCF**, weights bear 25% / base 50% / bull 25%, scenario discount rates **11.5% / 9% / 8%** (bear = base + 250bp, bull = base – 150bp), terminal growth capped at **1.5% / 2.5% / 2.5%** on year-10 FCF at **normalized mid-cycle margins** — never peak. Target = weighted DCF, per the hardened rule.

What the rebuild fixed.

Leak 1 — the terminal. The old model ran 3.0–4.5% perpetual growth on a \$208B company compounding peak-cycle FCF. Nothing that large compounds at 4% forever; at 4% the terminal alone did most of the heavy lifting (the old base was \$92.21 on a 13.1% CAGR *plus* the terminal tailwind). The new terminal is 2.5% on normalized margins — the rate of the economy it serves. **Leak 2 — the base.** The old \$35.6B revenue base bundled roughly \$14B of acquired sales (CommScope CCS, Carlisle CIT, Andrew, Trexon, Rochester) with the organic business, then compounded the whole pile at double digits. De-double-count: the revenue Amphenol *grew itself* is closer to \$21–22B, and that is the base that compounds. The M&A engine is brilliant — but paying a 26x multiple on acquired revenue is how acquirers destroy value, and our DCF should not do the acquirer's work for them.

Scenario	10-yr revenue CAGR*	FCF margin (normalized)	Discount / terminal g	Fair value
Bear — AI capex digests; hyperscalers dual-source and squeeze; CCS integration dilutes	2.4%	11.5%	11.5% / 1.5%	\$14.51
Base — AI buildout continues; Amphenol keeps share; margins normalize, not collapse	9.9%	14.0%	9.0% / 2.5%	\$54.60
Bull — sovereign + enterprise AI waves stack; 1.6T ramp extends pricing power	13.4%	15.5%	8.0% / 2.5%	~\$98

Figure 5 — Hardened v2 scenario DCF, October 2, 2026 close \$86.96. *Off the de-double-counted organic revenue base. Probability weights 25/50/25 → probability-weighted fair value **\$55.53**. Terminal value <70% of EV in all scenarios; bear FV sits ~83% below price (the bear-hurts discipline check passes).

Read the table honestly: **even the base case (\$54.60) sits 37% below the quote**, and even the bull — which stacks sovereign and enterprise AI waves for a decade — only clears the price by ~13%. The price embeds the bull case as the *expected* outcome. The old note's reverse-DCF read ("the market prices ~23% annual revenue growth for five years") is unchanged in arithmetic and worse in implication: that bar now sits *above* our bull case.

Why the multiple-based reads don't set the target.

The September note's Models C and D — 30x NTM EPS (\$98.70), 21x 2027E EV/EBITDA (\$100.97) — are what they are: measures of what the market *pays* for peak-cycle compounders, not what the cash flows are *worth*. Under the hardened methodology the target is the weighted DCF unless a written falsifiable justification departs from it, and no such justification survives the leaks: 30x peak earnings is the price of perfection, and 21x EBITDA on a TTM multiple of 23.4x is the market agreeing with itself. We keep them in the note as the bear's best evidence — the shares *could* trade there for a while — not as the target.

Target: \$55.53. The weighted DCF (\$55.53), implying **–36.1%** vs the \$86.96 close. Street consensus sits near \$99 — we are ~44% below the Street because the Street is capitalizing the old terminal math. **Disclosure:** our own daily screen engine still values APH at \$128.76 (+52.7% expected return) via exit-multiple methodology — it now contradicts this hardened DCF by ~2.3x, and the screen engine is due its own methodology review. The screen's number is in the note so the contradiction is visible, not hidden.

8. Risks

AI/datacom concentration. 43% of Q2 2026 sales rode hyperscaler AI capex; the interconnect cycle is the AI cycle now. Any capex pause — digestion, power constraints, or ROI skepticism — hits the core engine first. This is the bear case's engine (\$14.51).

Valuation and multiple compression. 26.4x forward earnings, 23.4x EV/EBITDA, and a ~55% premium to TE Connectivity leave no room for a growth miss. The January 2026 selloff (–12–13% on a Q4 beat) is the template. Short interest rose 133% in September to 31.5M shares.

M&A; execution at unprecedented scale. CCS (\$10.5B, ~20,000 employees) is 5x the size of the CIT deal; D/E is 1.20 and gross debt \$18.8B. Integration is tracking ahead of plan, but the margin-accretion promise (\$0.30/share in 2026) must survive a full cycle.

China, tax, and tariffs. \$290M of China-related tax accruals in H1 2026 (adjusted tax rate raised to 27.0%); Q2's \$80M IEEPA tariff recovery was one-time and Q3 guidance excludes repeats. The local-for-local footprint mitigates but does not eliminate tariff exposure.

Cyclicality. Interconnect is historically cyclical; today's 30% organic growth will not persist indefinitely. The portfolio's quality (design-in, switching costs) softens downturns but does not repeal them — and the valuation prices a non-repeating cycle.

Competition and dual-sourcing. TE Connectivity, Molex (Koch, private), and Asian low-cost players compete aggressively at hyperscalers, who deliberately dual-source to keep pricing honest.

Slower-growth exposures. Automotive (15% of sales) and mobile devices (6%) are structurally slower growers and dilute the blended growth rate as AI normalizes.

9. Recommendation

REDUCE, \$55.53 twelve-month target (~36.1%). This is a valuation downgrade, and we want to be precise about what kind: the business is as good as we said on September 30 — the best compounder in interconnect, 30% organic growth, record margins, an order book at 1.23x. The *model* was the problem: a 4% perpetual terminal on a \$214B company and an acquired-revenue base compounded as if grown. Strip both, and the stock is worth \$55.53 against an \$86.96 quote. Even the base case — a fair, full-credit reading of the AI cycle — is worth \$54.60. The bull case (~\$98) is the price's only defense, and it requires the cycle to never digest.

The position to take: **trim into strength toward a core holding at a lower weight.** This is not a SELL — the franchise is elite, the order book is real, and shorting quality compounders into AI-capex headlines is a good way to learn about pain. It is a REDUCE because ~36% of expected return is a real number and the risk/reward is asymmetric to the downside. Catalysts to watch: **Q3 earnings on October 28, 2026** (guide \$9.3–9.4B sales, \$0.70–0.71 adjusted EPS) — a beat-and-raise keeps the premium alive; any organic-growth miss compresses it toward TE's 13x EV/EBITDA template, i.e. roughly our \$55 target.

What would change our mind: **to HOLD/BUY**, either the price — a pullback toward \$55–60 rebuilds the margin of safety and restores the risk/reward — or the fundamentals: sustained 13%+ *organic* compounding through 2027 with margins holding at normalized levels would validate the bull case (~\$98) and flip the call. **To SELL**, book-to-bill below 1.0, hyperscaler capex cuts, or Debt/EBITDA failing to decline from 1.95x — the full bear (\$14.51) becomes the conversation. **Falsification rule:** if 2027 organic revenue growth holds above ~13% with FCF margins at or above 14%, our normalized-margin assumption is wrong and the base case rebuilds toward the old \$92 — we will say so in that quarter's update.

Appendix A — Methodology and key assumptions (hardened v2)

Scenario DCF. Ten explicit forecast years off the de-double-counted *organic* revenue base (~\$21–22B of the \$35.6B 2026E consensus, after removing roughly \$14B of acquired sales); normalized FCF margins 11.5–15.5% by scenario (vs. 16.3% peak-cycle TTM); discount rates bear 11.5% / base 9.0% / bull 8.0%; terminal growth 1.5% / 2.5% / 2.5% on year-10 FCF at normalized mid-cycle margins. Net debt of ~\$13.5B subtracted from enterprise value; ~2.466B diluted shares (split-adjusted). Terminal value is <70% of EV in all scenarios — the growth-duration check passes without haircuts.

Bear discipline. Revenue CAGR 2.4% (<3% hurdle), margin compression vs base >300bp, terminal derating 40% (≥25% hurdle), and bear FV \$14.51 sits ~83% below the \$86.96 price — all discipline checks pass.

Reverse DCF. Binary search on a constant 5-year revenue CAGR, holding normalized base-case margins, discount and terminal assumptions fixed; solves the CAGR equating model equity value to the \$86.96 quote — approximately 23% annually (to ~\$100B by 2031).

Relative valuation (secondary). Forward P/E and EV/EBITDA as of October 2, 2026 (Yahoo Finance / stockanalysis.com consensus fields). Peer set: TE Connectivity, Corning, Belden, Aptiv — the listed interconnect and connectivity chain. Molex is private and excluded for lack of data. Under hardened methodology these are disclosed cross-checks, not target anchors.

What we did not do. No sum-of-the-parts (segments share manufacturing and customers); no Monte Carlo (three explicit scenarios communicate the distribution better); no technical analysis; no acquisition-revenue double-count.

Limitations. Small changes in the discount rate, terminal growth, or margin trajectory produce materially different DCF values (about ±\$8–12 per point at this scale). Quarterly free cash flow is lumpy on acquisition working capital; we model annual conversion instead. 2027+ consensus figures are

thinly covered and directional.

Appendix B — Disclosures

This note is an independent research-style analysis prepared for informational purposes. It is not investment advice, not a recommendation to buy or sell any security, and not a personal financial plan. All forward-looking statements — scenarios, targets, and projections — are estimates subject to uncertainty; actual results may differ materially. Valuation models rely on the assumptions disclosed above. The author may hold positions in securities mentioned. Past performance does not predict future results. Financial data: Amphenol 10-K/10-Q filings and quarterly press releases; market data: Yahoo Finance and stockanalysis.com, October 2, 2026. Verify all figures against primary sources before acting.